Philip A. Goldstein, Esq.
Shan P. Massand, Esq.
MCGUIREWOODS LLP
1251 Avenue of the Americas, 20th Fl.
New York, NY 10020-1104
Telephone: (212) 548-2100
pagoldstein@mcguirewoods.com
smassand@mcguirewoods.com

Attorneys for Defendant Bank of America, N.A.

UNITED STATES DISTRICT COURT
DISTRICT OF NEW JERSEY

PREMNATH KARRE, Plaintiff, v. E*TRADE SECURITIES LLC; MORGAN STANLEY; BANK OF AMERICA, N.A.; JOHN DOES 1-10; and ABC BUSINESS ENTITIES 1-10, Defendants.	Civil Action No. 2:26-cv-06421-WJM-CF Motion Day: August 17, 2026

DEFENDANT BANK OF AMERICA, N.A.'S MEMORANDUM OF LAW IN SUPPORT OF ITS MOTION TO DISMISS PLAINTIFF'S COMPLAINT

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INTRODUCTION

Defendant Bank of America, N.A. ("BANA"), respectfully submits this Memorandum of Law in Support of its Motion to Dismiss Plaintiff Premnath Karre's ("Plaintiff") Complaint for failure to state a claim upon which relief can be granted pursuant to Fed. R. Civ. P. 12(b)(6), and states as follows:

Plaintiff, a Georgia resident, alleges that on December 26, 2024, two unauthorized wire transfers totaling $123,510 were executed from his E*TRADE brokerage account and routed to accounts held at BANA. Plaintiff is not a customer of BANA and has no contractual, fiduciary, or other relationship with BANA with respect to the accounts or transfers at issue. BANA is merely the beneficiary's bank—it received incoming wire transfers into accounts held by unknown third parties.

Plaintiff's claims against BANA fail as a matter of law for four reasons. First, Plaintiff's common law claims for negligence and conversion are preempted by Article 4A of the Uniform Commercial Code, N.J.S.A. § 12A:4A-101 et seq., which provides the exclusive framework governing rights and liabilities arising from wire transfers. Second, Plaintiff's negligence claim fails because BANA owed no duty of care to Plaintiff as a non-customer. It is well-settled law that banks do not owe a general duty of care to non-customers, and no exception applies here. Third, Plaintiff's claims are inconsistent with New Jersey's Adverse Claims Statute, N.J.S.A. § 17:9A-223, which provides that a bank need not recognize an adverse claim to deposited funds absent a court order or indemnifying

bond—neither of which Plaintiff obtained. Fourth, Plaintiff fails to state a claim for conversion because BANA never exercised independent dominion or control over any funds belonging to Plaintiff.

For these reasons and as explained below, Plaintiff's Complaint should be dismissed under Fed. R. Civ. P. 12(b)(6).

STATEMENT OF FACTS

Plaintiff Premnath Karre is a resident of Georgia who maintained a brokerage account with E*TRADE Securities LLC ("E*TRADE"). *See* Compl. ¶¶ 5, 14. Plaintiff is not a BANA customer and has no contractual, fiduciary, or other relationship with BANA with respect to the accounts or transfers at issue.

According to the Complaint, on December 26, 2024, two unauthorized wire transfers were executed from Plaintiff's E*TRADE account: one in the amount of $98,580 and another in the amount of $24,930, totaling $123,510. *See* Compl. ¶¶ 16–18. Plaintiff alleges that E*TRADE and/or Morgan Stanley later informed him that the transfers were routed through Bank of America accounts within the United States. *See id.* ¶ 27. Plaintiff further alleges, on information and belief, that BANA received and processed the proceeds of the transfers into accounts maintained or serviced by BANA. *See id.* ¶ 55.

Plaintiff alleges that E*TRADE refunded $23,501.52 to his account, leaving $100,008.48 unrecovered. *See* Compl. ¶ 24. Plaintiff does not allege that he has any customer relationship with BANA or that BANA had advance knowledge that

the transfers were allegedly fraudulent; rather, his allegations against BANA concern BANA's alleged receipt and processing of funds routed into accounts maintained or serviced by BANA. *See id.* ¶¶ 55, 58.

Critically, Plaintiff does not allege that he obtained any court order, restraining order, or injunction directed at BANA or the accounts at issue. Nor does Plaintiff allege that he provided BANA with an indemnifying bond. Plaintiff simply alleges that funds were routed to BANA accounts and that BANA should have somehow prevented or remedied the fraud committed against him by unknown third parties.

Based on these allegations, Plaintiff asserts claims against BANA for negligence (Count Four) and conversion (Count Five). *See* Compl. ¶¶ 35–50.

LEGAL STANDARD

Federal Rule of Civil Procedure 12(b)(6) permits dismissal of a complaint for "failure to state a claim upon which relief can be granted." In resolving a Rule 12(b)(6) motion, courts "accept all factual allegations as true, construe the complaint in the light most favorable to the plaintiff, and determine whether, under any reasonable reading of the complaint, the plaintiff may be entitled to relief." *Obataiye v. Lanigan*, 2018 WL 3019887, at *6 (quoting *Fowler v. UPMC Shadyside*, 578 F.3d 203, 210 (3d Cir. 2009)).

"In other words, a complaint survives a motion to dismiss if it contains sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible

on its face.'" *Id.* (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009).

The Court must accept all well-pleaded factual allegations in the complaint as true. *Palakovic v. Wetzel*, 854 F.3d 209, 219 (3d Cir. 2017). But the Court "need not credit a complaint's bald assertions or legal conclusions when deciding a motion to dismiss." *Morse v. Lower Merion Sch. Dist.*, 132 F.3d 902, 906 (3d Cir. 1997); *see also Morrow v. Balaski*, 719 F.3d 160, 165 (3d Cir. 2013); *Sheridan v. NGK Metals Corp.*, 609 F.3d 239, 263 n.27 (3d Cir. 2010).

ARGUMENT

I. Plaintiff's Common Law Claims Are Preempted by UCC Article 4A.

Plaintiff's claims for negligence and conversion arise from wire transfers and are therefore governed exclusively by Article 4A of the Uniform Commercial Code (the "UCC"), as codified in New Jersey at N.J.S.A. § 12A:4A-101 et seq. Article 4A provides a comprehensive framework governing the rights, duties, and liabilities of parties involved in funds transfers, and its provisions expressly preempt common law claims that seek to impose liability inconsistent with its carefully crafted allocation of risk.

N.J.S.A. § 12A:1-103(b) provides that principles of common law and equity supplement the UCC's provisions but "may not be used to supplant its provisions, or the purposes and policies those provisions reflect." The New Jersey Supreme Court has emphatically confirmed this principle in the wire transfer context. In *ADS Assocs. Group, Inc. v. Oritani Sav. Bank*, 219 N.J. 496, 518–20 (2014), the Court held that recognition of common law claims in wire transfer disputes "would be precisely the type of resort to principles of law or equity outside of Article 4A that the Legislature expressly sought to avoid."

Federal courts in this District have uniformly applied this principle to dismiss common law claims arising from wire transfers. In *Harborview Capital Partners, LLC v. Cross River Bank*, 600 F. Supp. 3d 485, 496 (D.N.J. 2022), the court held that common law claims were preempted by Article 4A where the claims arose from a wire transfer dispute. Similarly, in *Remtek Servs. v. Wells Fargo Bank, N.A.*, 2020 U.S. Dist. LEXIS 7678, at *7 (D.N.J. Jan. 16, 2020), the court held that Article 4A's provisions are "intended to be the exclusive means of determining the rights, duties and liabilities" of the parties in a funds transfer. *See also Essgeekay Corp. v. TD Bank, N.A.*, 2018 U.S. Dist. LEXIS 214691, at *17 (D.N.J. Dec. 19, 2018) (holding that allowing common law claims would sidestep the "careful and delicate" loss allocation scheme of Article 4A).

These holdings are consistent with longstanding Third Circuit and District of New Jersey precedent. *See Yahn & McDonnell, Inc. v. Farmers Bank of State of Del.*, 708 F.2d 104, 113 (3d Cir. 1983) (common law action barred where the UCC

provides a comprehensive remedy); *New Jersey Bank, N.A. v. Bradford Secs. Ops., Inc.*, 690 F.2d 339, 345 (3d Cir. 1982) (same); *Bank Polska Kasa Opieki, S.A. v. Pamrapo Sav. Bank, S.L.A.*, 909 F. Supp. 948, 956 (D.N.J. 1995) ("Only in very rare instances should a court upset the legislative scheme of loss allocation and permit a common law cause of action."). New Jersey state courts have reached the same conclusion. *See Psak, Graziano, Piasecki & Whitelaw v. Fleet Nat'l Bank*, 390 N.J. Super. 199, 204 (App. Div. 2007) ("the UCC displaces the common-law where reliance on the common law would thwart the purposes of the UCC"); *First Atl. Fed. Credit Union v. Perez*, 391 N.J. Super. 419, 431 (App. Div. 2007) (quoting *Bank Polska*, 909 F. Supp. at 956).

In *DeFazio v. Wells Fargo Bank, N.A.*, No. 20-375 (SRC), 2020 WL 1888252, at *3 (D.N.J. Apr. 16, 2020), this Court addressed facts virtually identical to those presented here. The plaintiff in *DeFazio* alleged that Wells Fargo was negligent in: (i) allowing the beneficiary account receiving a wire transfer to be opened, (ii) allowing the transfer of the wired funds out of the account, and (iii) failing to prevent further transfers out of the account after being put on notice of the fraud. As the court held, Article 4A "directly addresses the funds transfer actions on which Plaintiff's negligence claim is based" and dismissed the claims as preempted. *Id.* The court explained:

> With regard to transfers out of account, Section 404 establishes a bank's obligation to make funds available to a payment order beneficiary when the beneficiary bank accepts the order, requiring a bank to pay the amount of the order upon acceptance. N.J.S.A. 12A:4A-404. Article 4A directly addresses the funds transfer actions on which Plaintiff's negligence claim is based. Accordingly, it

> precludes Plaintiff's claim that Wells Fargo acted with negligence or gross negligence in accepting the funds Plaintiff erroneously transferred into the Wells Fargo Account, in transferring funds out of the Wells Fargo Account and in otherwise failing to prevent transfers from the Wells Fargo Account.

DeFazio, 2020 WL 1888252, at *3.

The same analysis applies here. Plaintiff's claims against BANA are based on BANA's receipt of wire transfers into its customers' accounts and BANA's alleged failure to freeze or return those funds. *See* Compl. ¶¶ 55, 58–60, 64–67. These are precisely the actions governed by Article 4A. Under N.J.S.A. § 12A:4A-209, a payment order is accepted by the beneficiary's bank when the beneficiary is paid or notified of credit. Under N.J.S.A. § 12A:4A-402, the originator is obligated to pay the receiving bank upon acceptance.

[Remainder of Point I, Points II through IV, and their citations are omitted from this transcription.]

CONCLUSION

For the foregoing reasons, BANA requests that the Court grant its Motion to Dismiss Plaintiff's Complaint in its entirety with prejudice pursuant to Fed. R. Civ. P. 12(b)(6), and grant such other and further relief as the Court deems just and proper.

Dated: July 14, 2026

Respectfully submitted,

/s/ Philip A. Goldstein
Philip A. Goldstein
MCGUIREWOODS LLP
Shan P. Massand
1251 Avenue of the Americas, 20th Floor
New York, New York 10020-1104
Phone: (212) 548-2100
pagoldstein@mcguirewoods.com
smassand@mcguirewoods.com
Attorneys for Defendant Bank of America, N.A.